

Contract Exception Report

AI-Proposed Findings for Counsel Review

Contract: Vendor Services Agreement (Vendor Draft) - Acme Analytics Inc.

Baseline policy version: 3.1

Model run: RUN-2026-05-15-001

Generated: 2026-05-30

AI proposes; counsel disposes. This document presents AI-proposed risk findings that require human legal review. Findings are not legal advice and do not constitute a decision.

Review artifact only - not legal advice

Executive Summary

This report contains 5 AI-proposed risk finding(s) requiring counsel review on the vendor draft contract. Each finding is grounded in a specific source span and tensions with a specific policy.

Summary

Total findings	5
Critical severity	1
High severity	1
Medium severity	3
Low severity	0
Reviewed	0
Pending counsel review	5

Reviewer instructions

Each finding below is grounded in a specific source span and a specific policy. AI-proposed claims and findings have no authority until a reviewer records a decision. Use the counsel review box on each detail page to record your decision. Decisions are non-destructive: a later decision creates a new record and supersedes the prior one without deleting it.

Contract and Policy Metadata

Vendor Draft Contract

Document ID: DOC-VENDOR-DRAFT-001
Title: Vendor Services Agreement (Vendor Draft) - Acme Analytics Inc.
Version: 1.0
Effective date: 2026-05-01
Source system: vendor-submitted

Baseline Template

Document ID: DOC-BASELINE-MSA-001
Title: Standard Master Services Agreement (Baseline Template)
Version: 2.0
Effective date: 2025-01-01

Company Policy

Document ID: DOC-POLICY-001
Title: Company Contracting Policy (Vendor Agreements)
Version: 3.1
Effective date: 2025-01-15

Model Run

Model run ID: RUN-2026-05-15-001
Model name: stubbed-llm
Model version: v0.1-reference
Prompt version: prompt-contract-risk-001
Run timestamp: 2026-05-15T15:00:00Z
Extraction mode: stubbed

Exception Table

Finding ID	Severity	Policy Area	Source Section	Review Status
FINDING-001	HIGH	Indemnification	Section 5. Indemnification	Pending counsel review
FINDING-002	CRITICAL	Limitation of Liabilit	Section 6. Limitation of Liabil	Pending counsel review
FINDING-003	MEDIUM	Payment Terms	Section 8. Payment Terms	Pending counsel review
FINDING-004	MEDIUM	Remedies	Section 10. Remedies	Pending counsel review
FINDING-005	MEDIUM	Remedies	Section 10. Remedies	Pending counsel review

Each finding has a detail page below with the source excerpt, the AI-proposed claim, the policy tension, the provenance trail, and a counsel review box.

Finding FINDING-001

Severity: HIGH**Policy area:** Indemnification**Type:** indemnification_narrowed

1. Source Evidence

Section 5. Indemnification - span SPAN-VEN-INDEM-001 (chars 0-298) - hash sha256:vendor-indem-001

Each party shall indemnify the other party solely for third-party claims that have been finally adjudicated by a court of competent jurisdiction to have arisen from the indemnifying party's gross negligence or willful misconduct. No other indemnification obligations apply under this Agreement.

2. AI-Proposed Claim - CLAIM-001

The vendor draft narrows indemnification to mutual, only-finally-adjudicated, gross-negligence/willful-misconduct claims. This is materially narrower than the baseline vendor-indemnifies-Company standard and eliminates indemnity for data security failures and IP infringement.

3. Policy Tension

TENSIONS_WITH - POL-INDEM-001 v3.1 (Vendor Indemnification Standard)

Vendor must indemnify Company for third-party claims arising from Vendor's breach, negligence, willful misconduct, data security failures, or IP infringement. Mutual or narrow indemnity (e.g., only for finally adjudicated claims) is not acceptable without GC approval.

Why this matters: The vendor's clause is mutual and restricted to finally adjudicated gross negligence or willful misconduct, dropping baseline coverage for breach, ordinary negligence, data security failures, and IP infringement. This conflicts with POL-INDEM-001.

4. Provenance Trail

SourceSpan --GROUNDED_IN--> Claim

Claim --EXTRACTED_BY--> ModelRun

Claim --TENSIONS_WITH--> Policy

RiskFinding --BASED_ON--> Claim

5. Counsel Review

Counsel Review

☐ Approved Concession

☐ Rejected

☐ Escalated

Rationale:

Reviewer: _____

Date: _____

Finding FINDING-002

Severity: CRITICAL**Policy area:** Limitation of Liability**Type:** liability_cap_carveout_breach

1. Source Evidence

Section 6. Limitation of Liability - span SPAN-VEN-LOL-001 (chars 299-567) - hash sha256:vendor-lol-001

Notwithstanding anything to the contrary herein, each party's total aggregate liability under this Agreement, including any liability arising from indemnification, confidentiality, data security, or intellectual property infringement, shall not exceed the fees paid in the three (3) months preceding the claim.

2. AI-Proposed Claim - CLAIM-002

The vendor draft places indemnification, confidentiality, data security, and IP infringement liabilities within the aggregate liability cap, and reduces the cap to 3 months of fees.

3. Policy Tension

TENSIONS_WITH - POL-LOL-001 v3.1 (Liability Cap Carveouts)

Liability caps must exclude (carve out) indemnification obligations, confidentiality breaches, data security obligations, and IP infringement. Including these obligations within the cap is not acceptable.

Why this matters: POL-LOL-001 requires carveouts for indemnification, confidentiality, data security, and IP infringement. The vendor draft expressly subsumes these into the cap, in direct conflict with the policy.

4. Provenance Trail

SourceSpan --GROUNDED_IN--> Claim

Claim --EXTRACTED_BY--> ModelRun

Claim --TENSIONS_WITH--> Policy

RiskFinding --BASED_ON--> Claim

5. Counsel Review

Counsel Review

☐ Approved Concession

☐ Rejected

☐ Escalated

Rationale:

Reviewer: _____

Date: _____

Finding FINDING-003

Severity: MEDIUM**Policy area:** Payment Terms**Type:** payment_terms_out_of_policy

1. Source Evidence

Section 8. Payment Terms - span SPAN-VEN-PAY-001 (chars 568-720) - hash sha256:vendor-pay-001

Customer shall pay all invoiced amounts within ninety (90) days following the invoice date. Late payments shall accrue interest at 1.5% per month.

2. AI-Proposed Claim - CLAIM-003

The vendor draft sets payment terms at Net-90 from invoice date, outside the company's baseline Net-30 policy and beyond Procurement's Net-60 approval threshold.

3. Policy Tension

TENSIONS_WITH - POL-PAY-001 v3.1 (Standard Payment Terms)

Default payment terms are Net-30 after receipt of a valid invoice. Net-60 may be approved by Procurement. Net-90 or longer requires CFO approval.

Why this matters: POL-PAY-001 (current, v3.1) requires Net-30 with Procurement approval needed for Net-60 and CFO approval for Net-90+. The vendor's Net-90 from invoice date requires CFO sign-off. (Prior version POL-PAY-000 allowed Net-45 and is preserved in the graph.)

4. Provenance Trail

SourceSpan --GROUNDED_IN--> Claim

Claim --EXTRACTED_BY--> ModelRun

Claim --TENSIONS_WITH--> Policy

RiskFinding --BASED_ON--> Claim

5. Counsel Review

Counsel Review

☐ Approved Concession

☐ Rejected

☐ Escalated

Rationale:

Reviewer: _____

Date: _____

Finding FINDING-004

Severity: MEDIUM**Policy area:** Remedies**Type:** remedy_restriction

1. Source Evidence

Section 10. Remedies - span SPAN-VEN-REM-001 (chars 721-905) - hash sha256:vendor-rem-001

The remedies expressly set forth in this Agreement shall be the sole and exclusive remedies available to Customer for any breach, default, or other claim arising out of or relating to this Agreement.

2. AI-Proposed Claim - CLAIM-004

The vendor draft designates contract remedies as 'sole and exclusive' for Customer, eliminating cumulative remedies otherwise available at law or equity.

3. Policy Tension

TENSIONS_WITH - POL-REMEDY-001 v3.1 (Sole and Exclusive Remedy Restrictions)

Contracts must not designate any single remedy as 'sole and exclusive' for Company. Cumulative remedies must be preserved.

Why this matters: POL-REMEDY-001 prohibits 'sole and exclusive' remedy designations for Company. The vendor draft directly violates this requirement.

4. Provenance Trail

SourceSpan --GROUNDED_IN--> Claim

Claim --EXTRACTED_BY--> ModelRun

Claim --TENSIONS_WITH--> Policy

RiskFinding --BASED_ON--> Claim

5. Counsel Review

Counsel Review

☐ Approved Concession

☐ Rejected

☐ Escalated

Rationale:

Reviewer: _____

Date: _____

Finding FINDING-005

Severity: MEDIUM**Policy area:** Remedies**Type:** exclusive_remedy_conflict

1. Source Evidence

Section 10. Remedies - span SPAN-VEN-REM-001 (chars 721-905) - hash sha256:vendor-rem-001

The remedies expressly set forth in this Agreement shall be the sole and exclusive remedies available to Customer for any breach, default, or other claim arising out of or relating to this Agreement.

2. AI-Proposed Claim - CLAIM-005

The vendor's 'sole and exclusive remedy' clause may foreclose injunctive relief and other equitable remedies that Company would otherwise rely on to enjoin ongoing breaches of confidentiality, data security, or IP obligations.

3. Policy Tension

TENSIONS_WITH - POL-EQUITY-001 v3.1 (Equitable Remedies for Confidentiality, Data Security, and IP)

Contracts must preserve Company's right to seek injunctive relief and other equitable remedies for breaches of confidentiality, data security, or intellectual property obligations, in addition to (and not instead of) any contractual remedies.

Why this matters: The vendor draft limits remedies to those expressly stated in the agreement. This may conflict with the company policy requiring preservation of equitable remedies for confidentiality, data security, and IP misuse.

4. Provenance Trail

SourceSpan --GROUNDED_IN--> Claim

Claim --EXTRACTED_BY--> ModelRun

Claim --TENSIONS_WITH--> Policy

RiskFinding --BASED_ON--> Claim

5. Counsel Review

Counsel Review

☐ Approved Concession

☐ Rejected

☐ Escalated

Rationale:

Reviewer: _____

Date: _____